

Poised for disruptive growth

MoldTek Packaging recorded highest volumes and PAT which has translated in very good results. The company also recorded higher than expected realizations (due to lower cost RM)

- **Revenue from operations** came at 2,078.35 Mn (+16.8% QoQ) (+55.4% YoY)
- **EBITDA** came at Rs 371.68 Mn (+16.9% QoQ) (+47.2% YoY)
- **EBITDA Margins** were at 17.9% (Vs 19.7% QoQ) (Vs 20.6% YoY)
- **EBITDA per Kg** were at Rs. 40.64 (Vs Rs. 38.07 QoQ) (Vs Rs. 42.07 YoY)
- **PAT** came at Rs 217.08 Mn (+25.4% QoQ) (+79.7% YoY)

Other Details

- **RM cost as percentage to Revenue** came at 62.1% (Vs 61.2% QoQ) (Vs 58.7% YoY)
- **O. Exp as percentage to Revenue** came at 14.8% (Vs 15% One Year Performance QoQ) (Vs 15.8% YoY)
- **Volume** at ~9145 tonnes (Vs ~8348 QoQ) (Vs ~6050 YoY)

Outlook:

Company expects capacity to reach 70,000 tonnes in FY24 from current 44,000 tonnes and expects to deliver 43 Rs EBITDA per Kg for the current year. The current results were very strong as demand scenario has been good (seen with peers also) but the profitability part has been a positive upbeat due to falling cost scenario (opposite seen in peers). We are confident on superior performance by the company

Financial Summary

Y/E Mar (Rs mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
Net sales	3,940.9	4,374.4	4,789.3	6,314.7	8,064.3	10,196.3
EBIDTA	719.5	800.4	959.6	1,206.7	1,476.3	2,186.6
Margins	18.26%	18.30%	20.04%	19.11%	18.31%	21.44%
Adjusted net profit	310.4	404.2	488.8	632.1	816.0	1,262.1
EPS (Rs)	11.2	14.6	17.5	20.2	24.6	38.1
P/E (x)	72.7	55.9	46.5	40.3	33.1	21.4
EV/EBITDA (x)	32.6	29.6	24.8	21.4	19.1	13.0
RoCE (%)	20.4	20.0	20.9	19.3	22.7	29.4
RoE (%)	16.3	20.5	19.1	13.8	21.2	27.1

Source: Company, Dalal & Broacha Research

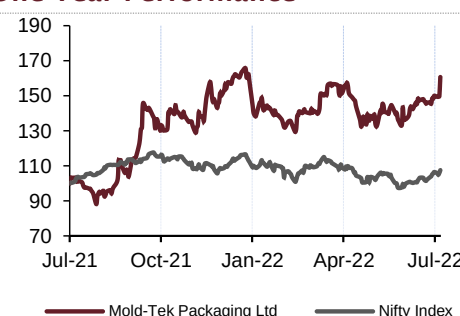
Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	915	12

Market data

Current price	Rs	820
Market Cap (Rs.Bn)	(Rs Bn)	27
Market Cap (US\$ Mn)	(US\$ Mn)	340
Face Value	Rs	5
52 Weeks High/Low	Rs	862.15 / 445.4
Average Daily Volume	('000)	527
BSE Code		53
Bloomberg		MTEP.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	34.23	34.37
Public	65.77	65.63
Total	100	100

Source: Bloomberg

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Conference Call Key Highlights

Surprise for the quarter came from higher lubricant business (Shell, Exxon Mobil, Gulf, BPCL)

Plants and Capex: Company has planned capex worth 125 Crs for the year

- Thin-Wall: 4700 mtpa will be added at Sultanpur and Daman Units
- IBM: 2000 mtpa will be set up at Sultanpur
- IML Labels: Doubling printing capacity to 45 Mn labels per month
- Bulk Packs: 2600 mtpa will be added at Daman, Vizag, Hyderabad and Kanpur
- Tool Room: Mold making capacity will be increased from 4 per month to 8 per month

Company has decided to set up a second plant at Daman with robotic IML facilities to produce Food & FMCG IML- containers for the increasing demand in western region. This plant will also add IBM products later.

IBM Plant: will be operational from next year, Building for phase 1 is constructed and interiors are underway.

OTC Plant: will be operational in September, pilot plant capacity is completely occupied.

New customers: During this quarter, the Company bagged new orders from Anschem India, Shri Shyam oil extractions, National Industries, Aquaculture specialties, Mother Nutri Foods etc

Raw Materials: Company has witnessed softening in RM prices which has helped margins since the older higher RM costs are used to charge in cost plus model to clients while RM procured currently will be low cost. In other words, company benefits when the RM costs are falling (and are able to earn 1-2 Rs more in EBITDA per Kg) while in RM rising scenario, company loses in EBITDA per Kg.

Other KTAs:

- **EBITDA per Kg** in paints between 30-40Rs per Kg, Food is 80-90 Rs per Kg, IBM is 80-100 Rs per Kg and Pharma goes all the way to 180-200 Rs per Kg
- Q Packs are seeing good traction from categories apart from Edible oil containers. Seeing orders from cashew nuts, aquaculture, and tea as categories.
- **IML Vs Non IML** stood at 66:34 in terms of volume and 61.8:38.2 in terms of value

- Company expects to do similar volumes in Q4 as well (above 9000 tonnes)
- FMCG companies are now opening up to IML - 3 products launched and 4th underway for clients.
- BPCL volumes are picking up. Expect surprise volumes of lubricant orders to sustain
- For QR coded IML, Shell and Valvoline have shown interest while Castrol is on the backseat
- Orders from Wipro (for pumps) are less and not as per agreement but will reach as per agreement once their plant is set up.
- More capacities for paints companies is being created. Asian Paints capacities are being increased from 7000 tonnes to 12300 tonnes. Some capacities will come live by August.
- Company doesn't expect exports to rise more than 10-12 crs due to high freight cost

Quarterly Financials

Particulars (Rs Mns)	Q1FY23	Q1FY22	YoY Growth	Q4FY22	QoQ Growth
Revenue	2,078.35	1,337.30	55.4%	1,779.23	16.8%
Employee Cost	108.74	88.97	22.2%	106.22	2.4%
Other Expenses	308.22	211.14	46.0%	267.09	15.4%
EBIDTA	371.68	252.44	47.2%	317.81	16.9%
EBITDA per KG	40.64	42.07	-3.4%	38.07	6.8%
Depreciation	71.32	61.61	15.8%	68.74	3.8%
Interest	10.08	26.47	-61.9%	11.29	-10.8%
Other Income	1.29	1.16	11.1%	10.53	-87.7%
PBT (post exceptional)	291.57	165.52	76.1%	248.31	17.4%
Tax	74.48	44.71	66.6%	75.14	-0.9%
PAT (reported)	217.08	120.82	79.7%	173.17	25.4%
Adj. PAT (after minority and excl. exceptional)	217.08	120.82	79.7%	173.17	25.4%
Equity	165.62	140.65		156.28	
Face Value	5.00	5.00		5.00	
EPS (on adj)	6.55	4.29	52.6%	5.54	18.3%
Tax Rate	25.55%	27.01%		30.26%	
% to Revenue					
RM Cost	62.05%	58.68%		61.16%	
Employee Cost	5.23%	6.65%		5.97%	
Other Expenses	14.83%	15.79%		15.01%	
Gross margins	37.95%	41.32%		38.84%	
EBIDTA Margins	17.88%	18.88%		17.86%	
PAT Margins	10.44%	9.03%		9.68%	

Source: Company, Dalal & Broacha Research

Outlook & Valuations

Company expects capacity to reach 70,000 tonnes in FY24 from current 44,000 tonnes and expects to deliver 43 Rs EBITDA per Kg for the current year. The current results were very strong as demand scenario has been good (seen with peers also) but the profitability part has been a positive upbeat due to falling cost scenario (opposite seen in peers). We are confident on superior performance by the company. Keeping the expansion plans and performance in mind, **we upgrade our target to 915 (24x FY24EEPS) and maintain BUY ON DIPS rating.**

Financial

P&L (Rs mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
Net Operating Incor	3,940.9	4,374.4	4,789.3	6,314.7	8,064.3	10,196.3
Raw Materials	2,387.2	2,498.6	2,724.0	3,765.9	4,910.3	5,945.0
Employee Cost	404.5	309.0	326.9	386.8	472.4	611.8
Other Expenses	429.6	766.3	778.7	955.3	1,205.3	1,453.0
Total Expenses	3,221.4	3,573.9	3,829.7	5,108.0	6,588.0	8,009.7
Operating Profit	719.5	800.4	959.6	1,206.7	1,476.3	2,186.6
Depreciation	147.4	190.7	214.9	264.2	326.3	420.0
PBIT	572.1	609.7	744.7	942.4	1,150.0	1,766.6
Other income	13.4	11.6	6.0	11.0	11.0	8.7
Interest	70.8	101.9	99.4	92.8	70.1	88.0
Extraordinary Items	115.0	28.6	10.8	-	-	-
Profit before tax	399.6	490.8	640.5	860.6	1,090.9	1,687.3
Provision for tax	158.6	108.9	159.8	228.6	274.9	425.2
Reported PAT	241.0	381.9	480.8	632.1	816.0	1,262.1
Extraordinary Items	115.0	28.6	10.8	-	-	-
Minority Interest						
Adjusted PAT	310.4	404.2	488.8	632.1	816.0	1,262.1

Balance Sheet (Rs	FY19	FY20	FY21	FY22	FY23E	FY24E
Equity capital	138.5	138.6	139.6	156.3	165.6	165.6
Reserves	1,767.5	1,832.4	2,418.8	4,414.8	3,678.6	4,488.1
Net worth	1,906.0	1,971.1	2,558.4	4,571.1	3,844.3	4,653.7
Def. Tax Liab.+Mino	130.6	116.1	120.5	147.3	120.5	120.5
Longterm Debt	169.0	278.0	201.0	291.5	177.8	225.8
Short Term Debt	740.2	814.6	822.5	186.4	822.5	822.5
Total debt	909.2	1,092.6	1,023.5	477.9	1,000.3	1,048.4
Other Non current Li	1.7	0.9	0.3	2.3	0.3	0.3
CAPITAL EMPLOYE	2,947.5	3,180.7	3,702.6	5,198.6	4,965.3	5,822.8
Gross block	2,350.2	2,778.8	3,308.7	3,921.3	4,822.8	5,796.8
Accumulated depre	357.3	546.3	761.2	1,025.5	1,365.8	1,787.2
Net block	1,992.9	2,232.5	2,547.5	2,895.7	3,457.0	4,009.7
Capital WIP	160.4	115.3	113.0	138.4	167.4	202.4
Total fixed asset s	2,153.3	2,347.8	2,660.6	3,034.1	3,624.4	4,212.1
Goodwill						
Investments						
Inventories	438.5	500.0	708.2	959.0	874.4	1,058.7
Sundry debtors	663.8	579.9	901.3	1,430.1	1,436.1	1,815.8
Cash & bank	8.8	9.7	12.0	163.1	(220.0)	(304.9)
Loans & advances	39.1	7.6	3.2	6.1	3.9	4.4
Other current assets	116.2	167.9	65.7	133.7	209.7	71.4
Sundry creditors	178.9	180.3	322.3	280.6	403.6	488.6
O. Current Liabilities	291.0	260.1	320.4	241.5	553.4	536.7
Provisions	15.6	5.0	9.1	11.5	13.0	16.8
Working capital	780.7	819.6	1,038.5	2,158.5	1,334.2	1,603.2
Current Tax Assets (	13.6	13.2	12.3	15.4	12.3	13.0
Current Tax Liabilitie	-	-	8.7	5.5	5.5	5.5
CAPITAL DEPLOYE	2,947.5	3,180.7	3,702.6	5,202.5	4,965.3	5,822.8

Growth Ratios (%)	FY19	FY20	FY21	FY22	FY23E	FY24E
Net Sales	16.09%	11.00%	9.48%	31.85%	27.71%	26.44%
Operating Profit	13.35%	11.25%	19.88%	25.75%	22.34%	48.11%
PAT	-23.94%	58.44%	25.88%	31.47%	29.10%	54.67%
Per Share (Rs.)						
Net Earnings (Adj. EPS) (FV 5)	11.2	14.6	17.5	20.2	24.6	38.1
Cash Earnings (CPS)	14.0	20.7	24.9	28.7	34.5	50.8
Dividend	4.0	5.0	7.0	8.0	9.0	13.3
Book Value	68.8	71.1	91.7	146.2	116.1	140.5
Valuation Ratios						
P/E(x)	72.7	55.9	46.5	40.3	33.1	21.4
P/B(x)	11.8	11.5	8.9	5.6	7.0	5.80
EV/EBIDTA(x)	32.6	29.6	24.8	21.4	19.1	13.0
Div. Yield(%)	0.5	0.6	0.9	1.0	1.1	1.6
Return Ratios (%)						
ROE	16.3	20.5	19.1	13.8	21.2	27.1
ROCE (Excluding Financial Liability)	20.3	19.9	20.8	18.7	23.7	31.0
ROCE (Excluding Cash & Bank)	20.4	20.0	20.9	19.3	22.7	29.4
ROA	9.0	11.1	11.2	11.0	13.7	18.4

Source: Company, Dalal & Broach Research

Cash Flow (Rs. Mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
PAT + Depn	388.4	572.6	695.6	896.3	1,142.3	1,682.1
Increase/decrease in						
Inventories	66.4	(61.5)	(208.2)	(250.8)	84.6	(184.3)
Trade Receivables	160.3	83.9	(321.4)	(528.8)	(6.0)	(379.7)
Short Term Loans and Advances	(14.6)	31.5	4.4	(2.9)	2.3	(0.5)
Other Current financial Assets	0.2	(3.0)	8.5	(7.7)	(16.9)	(23.0)
Other Current Assets	(29.1)	(48.8)	93.8	(60.3)	(59.1)	161.3
Trade Payables	(21.8)	1.4	142.0	(41.7)	123.0	85.0
Other Financial Liabilities	190.3	(41.8)	59.9	(96.2)	299.6	(6.9)
Short term Provisions	12.8	(10.6)	4.1	2.4	1.5	3.8
Other short Financial liabilities	10.4	10.9	0.4	17.3	12.3	(9.8)
Long Term Provisions	0.2	5.8	8.7	2.9	7.6	14.6
Total	375.1	(32.2)	(208.0)	(965.9)	448.8	(339.4)
Net Cash from Operating Activities	763.5	540.4	487.6	(69.6)	1,591.1	1,342.8
Cashflow from Investing Activites						
Fixed Assets	(732.6)	(385.3)	(527.6)	(637.8)	(916.6)	(1,007.7)
long term investments						
Total	(732.6)	(385.3)	(527.6)	(637.8)	(916.6)	(1,007.7)
Cashflow from Financing Activities						
Equity	-	0.2	0.9	16.7	9.3	-
R&S	(142.4)	(317.0)	105.6	1,363.9	(1,552.1)	(452.7)
DTL	26.7	(14.5)	4.3	26.8	(26.8)	-
Income tax Assets	(7.1)	0.4	0.9	(3.1)	3.1	(0.8)
Income Tax Liabilities	(2.8)	-	8.7	(3.2)	-	-
Short term borrowings	(30.6)	74.4	7.9	(636.1)	636.1	-
Long Term borrowings	122.9	103.2	(85.7)	87.6	(121.3)	33.4
Other Financial Liabilities	1.7	(0.9)	(0.6)	2.0	(2.0)	-
Total	(31.6)	(154.2)	42.2	854.7	(1,053.7)	(420.0)
Net Cash	(0.6)	1.0	2.2	147.3	(379.2)	(84.9)
Cash at the beginning of year	9.4	8.8	9.7	12.0	163.1	(220.0)
Cash at the end of the year	8.8	9.7	12.0	163.1	(220.0)	(304.9)
Net Cash	(0.6)	1.0	2.2	151.2	(383.1)	(84.9)

Source: Dalal & Broacha Research, Company

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